Index numbers for both rural and urban areas and also combined for the month of January, 2011 was released on 18th February, 2011. It is proposed to release provisional indices for a period of one year. Indices for States/UT will be released only if adequate number of schedules is received at the time of compilation of index. These provisional numbers will be subsequently revised and final numbers with complete data for all-India and also for all the States/UTs would be released with a time lag of two months. It is expected that data reporting will be considerably improved and there may not be any need to bring out separate provisional numbers after December, 2011. Indices for January, 2012 onwards along with annual inflation rates are likely to be released with a time lag of one month.

Revision of Indices

These new CPI numbers would be revised on the basis of the results of the next round of Consumer Expenditure Survey scheduled to be conducted during 2011–12 by the NSSO. Thereafter, revision will be undertaken every five years or so (whenever large scale Consumer Expenditure Survey data become available).

Trends in Inflation

Inflation has been a highly sensitive issue in India right since the Independence and it has been so during the ongoing reforms process period, too. It has an incessant tendency of resulting into ‘double digits’, taking politically explosive proportions like governments falling at the Centre and state levels due to price rise of the commodities such as edible oil, onion, potato, etc. In such situations the Government in general has been taking recourse to tighter money supply to contain the state level disturbances due to price rise of the commodities such as edible oil, onion, potato, etc. althogh it has contained inflation but at the cost of higher growth. Price rise got rooted in India’s political psyche in such a way that the Government did check frequent famines quickly at the cost of long-term endemic hunger and sustained malnutrition.[44] The Government did not go to search the fine balance of the trade-off between inflation and growth due to political risk. The present period (2007–08) is almost similar to it when economy required